

HEADLINE JUDGMENT

Note: 23 Jun figures are intraday prints; 22 Jun is now a final close. Bloomberg's restated continuation series in force throughout. **Score FALLS to 20/30 — deeper into the systemic-risk-watch band (15–21) — as the US-inflation impulse downgrades 4→3.** 5Y5Y forward inflation has now closed below its 2.20% trigger for three straight sessions (2.1842%/2.1862%/2.1809%), sitting just +4.4 bp above the 2.142% pre-war anchor, with 10Y breakevens back below pre-war and oil at de-escalation lows — the war's forward-inflation impulse has drained. **The deal is holding but bumpy.** The Geneva technical talks went ahead over the weekend after a postponement — rocky, with Trump toll threats — but VP Vance said they set a “good foundation,” and technical talks continue. Strait traffic is recovering materially: Vance cited 12.5 mn barrels through Hormuz overnight (“a high since the war”), with the northern (Iranian) and southern (Omani) routes “fully open,” though the central route is still mined (~80 mines; full flows not seen until 2027 per ADNOC). **But frictions are live:** Iran threatened on Saturday to re-close the strait as Lebanon leverage (CENTCOM says it is open and flowing), the US–Iran toll/‘service fee’ dispute is unresolved (US: tolls would make a deal “unfeasible”), and Lebanon fighting continues. **Escalation holds at 3** (de-escalation holding but contested — not back to 4, not yet 2). **The hawkish Fed still pins the rates leg:** Treasury (4) holds — 30Y 4.95%, MOVE back to 70.02, dollar >101, 2Y +16 bp w/w. Oil (2) holds at de-escalation lows (Brent ~\$77.8); maritime (4) holds — both with their next downgrade approaching. Sequencing 22 → 22 → 21 → 20.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

23 Jun 2026 readings are intraday prints captured before session close — final settlements may differ. 22 Jun and earlier are final closes (restated continuation series). d/d deltas are 23 Jun intraday vs 22 Jun close; w/w deltas are vs 16 Jun close.

Benchmark	Intraday 23 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$77.79 /bbl	+\$0.27 (–\$0.88 w/w)	from \$72.48 (+7.3%) — de-escalation low; risk premium ~\$5.3/bbl, near pre-war	CO1 Comdty
Brent · 22 Jun close (carried)	\$77.52 /bbl (vs \$78.98 intraday I reported)	close ran \$1.46 below my intraday — the grind lower continued		CO1 Comdty (Close)
WTI front-month	\$73.33 /bbl	–\$0.53 (–\$1.94 w/w)	from \$67.02 (+9.4%) — the conflict's WTI low	CL1 Comdty
Brent–WTI spread	\$4.46 /bbl	+\$0.80 d/d	WTI leading the move down	derived
Henry Hub natural gas	\$3.24 /MMBtu	–\$0.02 (flat w/w)	from \$3.06 (+5.6%) — firm; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€42.14 /MWh	+€0.25 (+€0.37 w/w)	from €31.23 (+34.9%) — stabilizing in the low €40s	TZTA Comdty
Japan/Asia LNG (22 Jun print)	¥2,528	+¥65 vs 19 Jun	from ¥1,669 (+51.5%) — stabilizing	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — now well stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

23 Jun 2026 yields are intraday. d/d deltas are 23 Jun intraday vs 22 Jun close; w/w deltas are vs 16 Jun close. The complex still reflects the 17 Jun hawkish FOMC.

Tenor	Yield (%) — intraday 23 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.21	–1.7	+15.7	+83 (from 3.37%) — hawkish-FOMC level, highest in over a year	USGG2YR Index
5-year UST	4.27	–1.8	+10.6	+77 (from 3.50%)	USGG5YR Index
10-year UST	4.50	–1.0	+5.9	+56 (from 3.94%) — 15 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.95	+0.1	+0.6	+34 (from 4.61%) — below 5.00% (Treasury reverted 5→4 on 11 Jun)	USGG30YR Index
2s10s spread	+29 bp	+0.9	–9.4	–27 (flat — hawkish Fed)	USYC2Y10 Index
10Y breakeven inflation	2.24	–flat	+flat	–1 (from 2.26%) — below pre-war as oil falls + a hawkish Fed	USGGBE10 Index
5Y5Y forward inflation	2.19	+0.5	–2.2	+4 (from 2.14%) — SUSTAINED below 2.20% (3 closes); near pre-war (US-inflation 4→3)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	101.01	23 Jun intraday	+3.40 (from 97.61)	Holding >101 (+1.47 w/w) on the hawkish FOMC — higher-for-longer rate support. Dollar strength, not a Stage-4 break.
MOVE Index (bond vol)	70.02	22 Jun (lagged)	-3.36 (from 73.38)	Bounced off the 65 leg (65.39→70.02) with the hawkish Fed — the Treasury →3 trigger out of reach. Still below pre-war and far below the 130 Stage-4 level.
VIX (equity vol)	17.28	22 Jun (lagged)	-2.58 (from 19.86)	Holding below pre-war — equities drifting as the deal holds and oil eases.
US gasoline retail avg	\$4.58 /gal	19 Jun (latest print)	+\$1.06 (from \$3.52, +30%)	Below the \$4.75 threshold (political-stress at 4); still falling with crude toward the \$3.52 pre-war level.

Strait operational state

Indicator	Current reading	Source
Geneva technical talks	After a weekend postponement the talks went ahead — rocky, amid Trump toll threats — but VP Vance said they set a “good foundation”; technical talks (nuclear, Hormuz, sanctions) continue in the 60-day window.	AP / Britannica / CNN
Strait traffic — recovering	Vance: 12.5 mn barrels passed through Hormuz overnight, a high since the war; CENTCOM has let a dozen-plus ships through the blockade. Intertanko: the northern (Iranian) and southern (Omani) routes “seem to be fully open.”	CBS / Britannica
Central route still mined	Intertanko: the main central route is still closed with ~80 mines to clear; Lloyd's List counts 550 ships waiting to exit the Gulf; ADNOC sees full flows only by 2027.	CBS / Commons Library
Iran's closure threat / tolls	On Saturday Iran's military command claimed it would re-close the strait, citing Lebanon — leverage for a full ceasefire. CENTCOM says the strait is open and Iran does not control it; the US warns Iranian tolls would make a deal “unfeasible.”	CNN / Commons Library
Lebanon — still hot	Israeli strikes in southern Lebanon continued (Lebanon reports ~16 killed overnight; Israel reports soldier deaths); Hezbollah attacked Israeli forces. The 19 Jun ceasefire renewal is fragile.	CBS / CNN
Nuclear / sanctions overlay	The 60-day window covers Iran's nuclear program (HEU disposition) and sanctions relief; Vance calls removing enriched uranium “the main thing.” The 17 Jun hawkish FOMC (dots 3.8%) keeps US rates firm.	CBS / Fed

2 · US economic shock — analysis with bond yields

The US economic shock falls to **20/30**, well into the systemic-risk-watch band, as the war's forward-inflation impulse drains (US-inflation 4→3): 5Y5Y is sustained below its trigger and near pre-war, breakevens are below pre-war, and oil sits at de-escalation lows. The residual elevation is now the still-normalizing geopolitical channels (maritime, oil, escalation) plus a Treasury channel pinned by a hawkish Fed fighting a 4.2% CPI. No Stage-4 signal; the dollar is firm on policy, not breaking.

2.1 · Bond-yield transmission

23 Jun yields are intraday; d/d vs 22 Jun close, w/w vs 16 Jun. **US-inflation downgraded 4→3; score 21→20**. The rates complex still reflects the hawkish FOMC: 2Y +15.7 bp w/w to 4.2087%, the dollar >101, the curve flat (2s10s +29 bp). The long end is anchored (30Y 4.9493%, +0.6 bp w/w).

(i) Inflation anchor — drained; downgraded to 3. 5Y5Y forward has closed below 2.20% for three straight sessions (2.1842% → 2.1862% → 2.1809%) and is 2.1857% intraday — just +4.4 bp above the 2.142% pre-war anchor; 10Y breakeven at 2.24% is below pre-war. With oil at de-escalation lows, the war's forward-inflation impulse has drained, so **US-inflation downgrades 4→3**. A further grind to the 2.142% anchor would take it to 2; a renewed rise >2.20% would restore 4.

(ii) Long-end — below 5.00%, Treasury Fed-pinned at 4. 30Y at 4.9493% holds below 5.00% but MOVE bounced to 70.02 (from the 65 leg) and the front end is firm (2Y 4.21%, dollar >101) on the hawkish dots — the Treasury →3 downgrade (30Y <4.50% with MOVE <65) is out of reach. 10Y at 4.4989% is 15 bp below the 4.65% trigger.

(iii) Oil — de-escalation low; holds at 2, →1 approaching. Close path: \$79.51 (18 Jun) → \$80.05 (19) → \$77.52 (22) → \$77.79 intraday (23 Jun); WTI \$73.33, the conflict low. Risk premium ~\$5.3/bbl (+7.3% vs pre-war). Holds at 2; a sustained grind toward the \$72.48 pre-war level as the strait normalizes takes it to 1.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event — the signed deal has moved the complex far from it; the live question is the pace of normalization *down*.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y below 5.00%, upcoming coupon auctions should price comfortably despite the hawkish tilt.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Dormant. 30Y 4.9493% is 25 bp below the 5.20% trigger; 10Y 4.4989% is 15 bp below 4.65% — the hawkish move sits in the front end.

Threshold C · MOVE above 130. Contained. MOVE 70.02 and VIX 17.28 are both below pre-war. Far below Stage-4 levels. HY OAS not in the BBG sheet — equities near records argue for tightening.

2.3 · Cross-asset

The split persists and narrows: with the inflation channel drained, the score's macro residual is now just the Fed-pinned Treasury channel (firm 2Y, >101 dollar, flat curve), while oil, breakevens, gas and the long end sit at or below pre-war. The geopolitical residual (maritime 4, oil

2, escalation 3) is the larger block and the one still actively normalizing as the strait reopens. The clearest tell of the regime shift: 5Y5Y and 10Y breakevens are now at/below their pre-war anchors even as realized CPI (4.2%) keeps the Fed hawkish — forward inflation has moved on from the war.

3 · Shock score

Total: **20/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4 — →3 approaching. Traffic recovering materially (Vance: 12.5 mn bbl overnight; northern + southern routes open), but the central route is still mined (~80 mines), the recovery is <10 sessions old, and Iran is brandishing a re-closure threat.	↑ strait re-closed / blockade reinstated → back to 5. ↓ traffic >25% normal for 10 sessions → to 3.
Oil price shock	2/5	Held at 2 — →1 approaching. Brent \$77.52 close (22 Jun) → \$77.79 intraday; WTI \$73.33, the conflict low. Risk premium ~\$5.3/bbl (+7.3% vs pre-war).	↑ Brent >\$95 sustained → back to 3. ↓ Brent toward the \$72.48 pre-war level sustained → to 1.
US inflation impulse	3/5	DOWNGRADED 4→3. 5Y5Y closed below 2.20% for three straight sessions (2.1842/2.1862/2.1809%), now +4.4 bp above the 2.142% pre-war anchor; 10Y BE 2.24% (below pre-war). Oil at de-escalation lows — the forward impulse has drained.	↑ 5Y5Y back >2.20% sustained → to 4. ↓ 5Y5Y to the 2.142% pre-war anchor → to 2.
Treasury stress	4/5	Held at 4 — Fed-pinned. 30Y 4.9493% (<5.00%) with MOVE 70.02 (bounced off 65); the hawkish dots (3.8% median) keep the front end firm (2Y 4.21%, dollar >101). The →3 legs are both out of reach.	↑ 30Y close >5.00% with MOVE >75 → back to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Gasoline \$4.58 (19 Jun), below the \$4.75 threshold and still falling with crude on an ~18-session downtrend from the \$5.18 peak.	↑ gasoline >\$4.75 sustained → back to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	3/5	Held at 3 — holding but contested. Geneva talks set a “good foundation” (Vance) and traffic is flowing, but Iran threatened to re-close the strait (Lebanon leverage), the toll dispute is live, and Lebanon fighting continues. Not back to 4 (no re-closure/strikes); not yet 2.	↑ deal collapse / re-closure / fresh strikes → back to 4–5. ↓ 60-day talks progress + sustained normalization → to 2.
TOTAL	20/30	Systemic-risk-watch band — 21→20. The forward-inflation impulse drained (US-inflation 4→3). The bias stays down: oil →1 (toward \$72.48), maritime →3 (sustained traffic) and political →3 (gasoline toward \$3.52) would carry the score toward the stress band (8–14) — but the hawkish Fed pins the Treasury leg at 4.	

4 · What's changed since the last edition (22 Jun AM → 23 Jun AM)

Score falls to 20/30 — US-inflation downgraded 4→3. 5Y5Y forward is sustained below its 2.20% trigger (three straight closes) and near pre-war, with breakevens below pre-war and oil at de-escalation lows — the war's forward-inflation impulse has drained. Source: Bloomberg.

Geneva talks — bumpy but a ‘good foundation.’ After a weekend postponement the technical talks went ahead amid Trump toll threats; VP Vance said they set a “good foundation” and will continue (nuclear, Hormuz, sanctions). Source: AP / Britannica.

Strait traffic recovering. Vance cited 12.5 mn bbl through Hormuz overnight (a war-high), with the northern and southern routes “fully open” — but the central route is still mined (~80 mines; full flows by 2027 per ADNOC). Maritime holds at 4, →3 approaching. Source: CBS / Commons Library.

Frictions kept escalation at 3. Iran threatened to re-close the strait (Lebanon leverage; CENTCOM says it is open), the US–Iran toll dispute is unresolved, and Lebanon fighting continues. Holding but contested. Source: CNN / CBS.

Hawkish Fed still pins Treasury. 30Y 4.95%, MOVE bounced to 70.02, dollar >101, 2Y +16 bp w/w; the dots (3.8%, 9/18 hiking) keep the front end firm. Treasury holds at 4. Source: Bloomberg / Fed.

22 Jun close vs my intraday. Brent \$77.52 vs my \$78.98 (–\$1.46); 5Y5Y closed 2.1809% (vs my 2.2065% intraday head-fake), confirming the sustained sub-2.20% read (\$9). Source: Bloomberg 22 Jun close.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — strait normalizes, talks progress	61%	The MOU holds; traffic keeps recovering (routes reopen, mines cleared over weeks); the 60-day nuclear/sanctions talks progress on Vance's “good foundation.”	Brent \$66–78; 30Y 4.6–4.9%; MOVE <70; score normalizes toward the stress band (8–14).
Slow / partial implementation	29%	Ceasefire holds but normalization is gradual — central-route mine clearance, the toll/‘service fee’ dispute and Lebanon slow commercial recovery (ADNOC: full flows only by 2027).	Brent \$74–84; yields stable; residual risk premium ~\$3–6/bbl; maritime stays at 4 longer.
Implementation breakdown (60-day window)	7%	Technical talks fail or the toll, nuclear/HEU or sanctions terms snag; Iran re-closes the strait as leverage — stalling the deal without full-scale war.	Brent \$86–98; yields drift up; risk premium rebuilds toward \$12–16/bbl; escalation back to 4.
Ceasefire breakdown / re-escalation	2%	A provision collapses — Lebanon the most likely trigger — and strikes resume despite the signed MOU.	Brent \$108–128; 10Y >4.65%; 30Y >5.20%; risk-off; score back toward the crisis band.
Major regional relapse	1%	Multi-front relapse with the strait re-closed/mined. Tail risk, much reduced by the signed, in-effect deal.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 22 Jun edition: deal-holds normalization −1 (62→61), slow/partial +1 (28→29); implementation-breakdown (7%), ceasefire-breakdown (2%) and regional relapse (1%) held. Driver: Vance's "good foundation" and the material traffic recovery (12.5 mn bbl overnight, two routes open) keep the constructive path dominant, but Iran's re-closure threat, the unresolved toll dispute, the still-mined central route and the live Lebanon front argue for a longer, bumpier normalization. The hawkish Fed does not change the geopolitical path but pins the Treasury channel.

6 · Watchlist · next 24–72 hours

Geneva technical talks. On Vance's "good foundation," the next rounds cover the nuclear/HEU stockpile, the Hormuz regime and sanctions. Progress supports escalation toward 2; a breakdown (or an Iranian re-closure) risks a move back to 4.

Strait traffic — maritime to 3. Traffic is recovering (12.5 mn bbl overnight; two routes open). A sustained >25% of normal for ten sessions — with central-route mine clearance progressing — takes maritime-denial 4→3. The next leg down.

Oil toward pre-war — oil to 1. Brent \$77.79, WTI \$73.33; risk premium ~\$5.3/bbl. A sustained grind toward the \$72.48 pre-war level takes the oil channel 2→1.

Iran's closure threat / toll dispute. Iran is using a re-closure threat as Lebanon leverage; the US says tolls would make a deal "unfeasible." The key two-sided risk — resolution supports the de-escalation, a re-closure reverses it.

5Y5Y / breakevens — US-inflation to 2. 5Y5Y is +4.4 bp above the 2.142% pre-war anchor; a grind to the anchor would take US-inflation 3→2. A renewed rise >2.20% would restore 4.

Hawkish-Fed aftermath. The dots (3.8%, 9/18 hiking) and a >101 dollar pin Treasury at 4; incoming CPI (4.2%) governs whether the higher-for-longer stance hardens or eases — the only path to a Treasury downgrade.

Lebanon. Continued Israeli strikes and a fragile 19 Jun ceasefire are the most likely route to a ceasefire breakdown — and the lever Iran is pulling on Hormuz.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (US retail gasoline).

Tier 1 — news and institutional. AP, Britannica, CNN, CBS, Reuters, Bloomberg, NPR, FT, WSJ, UK House of Commons Library; Federal Reserve / CME FedWatch. Vance's "good foundation" and the 12.5 mn-bbl overnight Hormuz transit, Intertanko's route assessment (northern/southern open, central route ~80 mines), Lloyd's List ship counts, Iran's Saturday re-closure threat and the toll dispute via AP / CBS / CNN / Commons Library.

Tier 3 — state media (labelled). Iranian statements (re-closure threat, "as long as the agreement remains on paper...", "service-fee terms) are labelled and corroborated against AP / CNN / CBS; Tasnim, Mehr, Fars, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (22 Jun) and capture any restatement of the continuation series.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 16 Jun this edition, the 19 Jun Juneteenth holiday in the window); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market/economic channels move on a confirmed close (this edition: US-inflation 4→3 on 5Y5Y sustained <2.20% near pre-war). Escalation-risk is event-based, held at 3 (deal holding but contested).
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 22 Jun close confirmed oil lower and 5Y5Y below 2.20%, reversing the 22 Jun intraday head-fake).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with the Geneva talks, strait-traffic recovery (maritime →3), oil toward pre-war (oil →1) and the toll dispute.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger — this edition US-inflation downgraded 4→3 on 5Y5Y's third straight close below 2.20% (near the pre-war anchor), having been held at 4 through the earlier whipsaw. Escalation-risk is event-based and is held at 3 (signed deal, contested implementation). A hawkish FOMC continues to pin the Treasury channel at 4, an exogenous crosscurrent flagged explicitly.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) 5Y5Y, 10Y breakevens, MOVE and VIX are now at or below pre-war; Brent is +7.3%; the hawkish Fed holds the front end and dollar above pre-war.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot. The 22 Jun close again diverged from my AM read (oil lower; 5Y5Y closed below 2.20% versus a higher intraday print), a reminder that US-hours trading sets the close. Market-channel triggers are evaluated only on confirmed closes; escalation-risk is event-based. This edition uses Bloomberg's restated front-month continuation series;

absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.